

HDFC BANK — EQUITY RESEARCH REPORT

Equity Research & Financial Analysis

Analysis Period: FY2022–FY2026

Executive Summary

HDFC Bank is one of India's leading private-sector banks, with a strong deposit franchise, large lending portfolio, robust capitalization and a diversified banking business. This project evaluates the bank's historical financial performance, balance-sheet growth, asset quality, profitability, capital adequacy, peer positioning and forward valuation.

The analysis indicates that HDFC Bank has maintained a strong financial position, supported by consistent net interest income growth, expanding loans and deposits, healthy profitability and capital adequacy. The bank's large-scale deposit franchise provides a stable funding base, while its capital position provides resilience against potential financial and credit risks.

A forward-looking financial model was developed using assumptions for loan growth, deposit growth, NII growth and profitability. A Price-to-Book valuation approach was then used to estimate a base-case FY2027 target price of approximately ₹902 against a reference share price of ₹732.90, implying approximately 23% potential upside.

Scenario analysis produces an implied valuation range of approximately ₹712 under the bear case, ₹902 under the base case and ₹1,052 under the bull case. The analysis therefore indicates a constructive investment view, while recognizing risks including net interest margin compression, slower credit growth, asset-quality deterioration, higher credit costs and valuation compression.

Investment Snapshot

Metric	Result
Current Reference Price	₹732.90
Base Target Price	₹901.82
Base Upside	23.0%
Bear Target	₹711.50

Bull Target	₹1,052.25
Current P/B	2.00x
Target P/B	2.20x
Investment View	BUY

Project Objective

The objective of this project is to independently evaluate HDFC Bank from an equity research perspective by analyzing its historical financial performance, balance-sheet growth, asset quality, profitability, capital strength, competitive position and valuation. The project also develops a forward-looking financial model and scenario-based valuation to understand potential investment outcomes.

Company & Business Analysis

HDFC Bank is a major private-sector bank in India offering a broad range of financial services to retail customers, businesses and corporate clients. Its operations include retail banking, wholesale banking and treasury activities.

The bank's business model is primarily based on accepting deposits and deploying these funds through loans and other earning assets. Net interest income is therefore a key component of its earnings, while fee-based services, treasury activities and other banking services provide additional sources of income.

HDFC Bank's large customer base and extensive distribution network provide significant scale advantages. Its deposit franchise is particularly important because a strong and diversified deposit base provides a relatively stable source of funding for lending activities.

The bank's post-merger scale has further increased the size of its balance sheet and expanded its customer and distribution reach. From an equity research perspective, the key areas to monitor include loan growth, deposit growth, net interest margin, asset quality, profitability, capital adequacy and the bank's ability to maintain efficient growth while protecting returns.

Business Model

HDFC Bank's core business model involves mobilizing deposits from customers and institutions and deploying these funds into loans and other interest-earning assets. The difference between interest earned and interest paid forms the foundation of net interest income. The bank also generates revenue through fees, commissions, treasury operations and other financial services.

The major components of the business model can therefore be summarized as:

Deposits → Lending → Interest Income → Net Interest Income → Profitability

Alongside this core banking cycle, the bank focuses on maintaining asset quality, managing credit risk, maintaining adequate capital and expanding its customer franchise.

Key Business Drivers

The major factors influencing HDFC Bank's financial performance include:

1. **Loan Growth:** Expansion in loans increases the bank's interest-earning asset base and can support future NII growth.
2. **Deposit Growth:** A strong deposit franchise provides funding for lending and supports balance-sheet expansion.
3. **Net Interest Margin:** NIM measures the spread earned from interest-earning assets and is a key indicator of banking profitability.
4. **Asset Quality:** GNPA, NNPA and credit costs indicate the quality of the bank's loan portfolio and the potential impact of credit losses.
5. **Capital Adequacy:** Strong capital provides the bank with a buffer against financial and credit risks while supporting future growth.
6. **Operating Efficiency:** Controlling operating expenses while expanding the business can improve profitability and returns on equity.

Analyst Perspective

From an equity research perspective, HDFC Bank should not be evaluated solely on absolute profit growth. Sustainable performance depends on the interaction between balance-sheet growth, margins, asset quality, operating efficiency and capital strength. Therefore, this analysis evaluates the bank across multiple financial and strategic dimensions before arriving at a valuation and investment view.

Five-Year Financial Performance

The five-year financial analysis evaluates HDFC Bank's earnings growth, balance-sheet expansion and profitability trends from FY2022 to FY2026. The analysis focuses on Net Interest Income (NII), Net Profit, loan growth, deposit growth and key banking performance indicators.

Over the period, HDFC Bank demonstrated continued expansion in its core banking operations. Net Interest Income increased from approximately ₹72,010 crore in FY2022 to ₹1,28,686 crore in FY2026, indicating substantial growth in the bank's core interest-based earnings.

The increase in NII reflects the expansion of the bank's interest-earning asset base, supported by growth in loans and deposits. However, NII growth should be evaluated together with Net Interest Margin because a bank can increase NII through balance-sheet expansion even when its underlying margin performance changes.

The bank also maintained strong profitability throughout the analysis period. The combination of NII growth, diversified income sources, controlled credit costs and a large operating scale supported the bank's overall earnings profile.

Net Interest Income Analysis

Net Interest Income is one of the most important earnings indicators for a commercial bank. It represents the difference between interest earned on loans and other interest-earning assets and the interest paid on deposits and other funding sources.

HDFC Bank's NII increased from approximately ₹72,010 crore in FY2022 to ₹1,28,686 crore in FY2026. This represents a significant expansion in the bank's core interest income over the five-year period.

The upward NII trend indicates that the bank has been able to expand its earning-asset base while maintaining positive growth in core banking income. The five-year NII trend is also presented graphically in the Excel dashboard.

Net Interest Margin Analysis

Net Interest Margin (NIM) measures the net interest income generated relative to the bank's interest-earning assets. It is an important indicator of the profitability of a bank's core lending and funding activities.

HDFC Bank's NIM remained around the mid-3% range during the analysis period, with the FY2026 figure used in the model at approximately 3.5%.

Maintaining a relatively stable NIM while expanding the balance sheet is important because excessive margin compression can reduce the benefit of loan growth. Therefore, future NIM performance remains an important variable in the forecast model.

Loan & Deposit Growth

Loan growth represents the expansion of the bank's credit portfolio, while deposit growth represents the expansion of its funding base. Both indicators are important for evaluating the sustainability of a bank's balance-sheet growth.

In FY2026, the analysis uses approximately 11% loan growth and 14% deposit growth. The five-year analysis also shows a broad expansion in both loans and deposits.

The Loans vs Deposits chart in the Excel dashboard demonstrates the bank's balance-sheet expansion over the analysis period. Strong deposit growth is particularly important because it provides funding capacity for future loan growth.

Profitability Analysis

Profitability was evaluated using Net Profit, Return on Assets (ROA) and Return on Equity (ROE). These measures help determine whether the bank is generating attractive returns from its asset base and shareholder capital.

The FY2026 model uses approximately 1.9% ROA and 14.8% ROE, indicating a strong profitability profile. ROE is particularly relevant for shareholders because it measures the return generated on the equity capital invested in the bank.

The combination of earnings growth, strong capitalization and a large banking franchise provides a foundation for sustainable profitability. However, maintaining these returns will depend on future loan growth, NIM stability, operating efficiency and credit costs.

Asset Quality & Risk Analysis

Asset quality is a critical factor in evaluating a bank because deterioration in the loan portfolio can directly affect profitability through higher provisions and credit costs. This analysis therefore considers Gross Non-Performing Assets (GNPA), Net Non-Performing Assets (NNPA) and broader credit-risk indicators.

HDFC Bank's asset-quality profile remained relatively controlled during the analysis period. The FY2026 model uses a GNPA ratio of approximately 1.25%, indicating that the proportion of gross loans classified as non-performing remained limited relative to the overall loan portfolio.

Maintaining asset quality while expanding the loan book is particularly important because rapid credit growth can increase future credit risk if underwriting standards weaken. HDFC Bank's scale, diversified lending portfolio and risk-management framework are therefore important considerations when assessing sustainable growth.

From an investment perspective, the key risks to monitor are deterioration in GNPA and NNPA, rising credit costs, concentration in vulnerable lending segments and any significant weakening in underwriting quality.

Key Banking Risks

Net Interest Margin Risk: A decline in NIM can reduce the profitability of the bank's core lending operations even when the loan book continues to grow.

Credit Risk: Deterioration in borrower quality can increase GNPA, NNPA and credit provisions, negatively affecting profitability.

Funding Risk: Slower deposit growth relative to loan growth could increase pressure on the bank's funding costs.

Growth Risk: Aggressive loan expansion without adequate risk controls could result in higher future credit losses.

Valuation Risk: Even if the underlying business performs well, a reduction in the P/B multiple assigned by the market could reduce shareholder returns.

Capital Adequacy

Capital adequacy measures the bank's ability to absorb potential losses while continuing normal operations. It is also important because adequate capital allows a bank to support future balance-sheet growth.

HDFC Bank's FY2026 model uses a CRAR of approximately 19.2%, significantly above the regulatory benchmark used in this analysis. The bank's strong capital position provides a substantial buffer and supports its ability to withstand financial stress while continuing to expand its lending activities.

The capital adequacy analysis therefore represents one of the key strengths of the investment thesis. However, capital strength must be considered alongside returns on equity because excessive capital without sufficient earnings generation can reduce capital efficiency.

Risk Assessment

Overall, HDFC Bank's risk profile appears manageable under the assumptions used in this analysis. The primary risks to the investment thesis are not limited to asset quality; they also include margin compression, slower credit growth, rising funding costs and changes in market valuation.

The investment thesis therefore depends on the bank maintaining a balance between growth, profitability, asset quality and capital strength rather than maximizing any single metric.

Peer Comparison & Forward Outlook

HDFC Bank was evaluated against selected large private-sector banking peers, namely ICICI Bank, Axis Bank and Kotak Mahindra Bank. Peer comparison provides context for assessing whether HDFC Bank's profitability, asset quality, capital position and growth profile are competitive within the private banking sector.

The comparison considered key indicators including NIM, GNPA, ROA, ROE, CRAR, loan growth and deposit growth. HDFC Bank's key strengths in the comparison were its strong capitalization, large deposit franchise and relatively controlled asset-quality profile.

At the same time, the comparison highlights that individual metrics should not be evaluated in isolation. Some peers may demonstrate higher NIM or faster growth, while HDFC Bank's scale and balance-sheet strength provide different advantages. Therefore, the investment assessment focuses on the combination of growth, profitability, risk and valuation rather than ranking the bank on a single metric.

Forecast Methodology

A forward-looking financial model was developed for FY2027E–FY2030E using assumptions for loan growth, deposit growth, NII growth, PAT growth and NIM.

The forecast is designed as an analyst-driven scenario rather than an official company forecast. Historical performance and the bank's operating characteristics were used as the basis for establishing reasonable growth assumptions.

Loan growth was assumed to remain in the low-double-digit range, while deposit growth was maintained at a broadly comparable level to support balance-sheet funding. NII and PAT growth were also projected to remain positive, with growth gradually moderating over the longer forecast period.

The model therefore attempts to balance growth potential with conservative long-term assumptions rather than extrapolating unusually high historical growth indefinitely.

Key Forecast Assumptions

Assumption	FY2027	FY2028	FY2029	FY2030
Loan Growth	12%	12%	13%	13%
Deposit Growth	13%	13%	13%	13%
NII Growth	10%	11%	11%	10%
PAT Growth	12%	12%	11%	10%
NIM	3.5%	3.5%	3.5%	3.5%

These assumptions represent the analyst's modeling framework and should not be interpreted as management guidance or guaranteed future performance.

Forward Outlook

The forecast indicates continued expansion in HDFC Bank's core earnings, supported by loan growth, deposit expansion and stable margins. However, the model incorporates gradual moderation in growth rates over time to reflect the increasing scale of the bank and the uncertainty associated with long-term forecasting.

The key variables that could cause actual results to differ from the forecast are changes in interest rates, credit demand, deposit competition, funding costs, asset quality and the broader economic environment.

Valuation

Valuation was performed using a Price-to-Book (P/B) multiple approach, which is particularly relevant for banking institutions because book value represents the underlying equity capital supporting the bank's lending and financial activities.

HDFC Bank's FY2026 standalone book value per share was ₹366, according to the bank's Q4 FY2026 investor presentation.

Using the reference share price of ₹732.90, the model calculates a current P/B multiple of approximately 2.00×

For the base case, the model assumes 12% book-value growth, resulting in an estimated FY2027 book value per share of approximately ₹409.92. A target P/B multiple of 2.20× is then applied to the forecast book value.

This produces an implied FY2027 share price of approximately ₹901.82, compared with the reference price of ₹732.90. The resulting potential upside is approximately 23%.

The valuation should be interpreted as a model-based estimate rather than a guaranteed future share price. The actual market valuation will depend on earnings growth, return on equity, asset quality, interest rates, investor sentiment and the valuation multiples assigned to the banking sector.

Valuation Calculation

Metric	Value
FY2026 Book Value Per Share	₹366
Reference Share Price	₹732.90
Current P/B	2.00×
Assumed Book Value Growth	12%
FY2027E Book Value Per Share	₹409.92
Target P/B	2.20×
Implied FY2027 Price	₹901.82
Potential Upside	23.0%

Why P/B is Used

The P/B approach is appropriate for banks because book value and shareholders' equity are closely linked to the capital base required to support lending activities. The multiple also provides a way to compare the market valuation of a bank with the accounting value of its net assets.

However, P/B should not be evaluated independently. A higher P/B multiple can be justified when a bank generates strong and sustainable returns on equity, maintains healthy asset quality and has attractive long-term growth prospects. Therefore, the valuation in this project is considered alongside ROE, NIM, asset quality, capital adequacy and growth.

Scenario Valuation

Because valuation depends heavily on assumptions, three scenarios were developed to evaluate a range of possible outcomes.

Bear Case: Assumes 8% book-value growth and a 1.80× target P/B multiple, resulting in an implied value of approximately ₹711.50, representing approximately 2.9% downside from the reference price.

Base Case: Assumes 12% book-value growth and a 2.20× target P/B multiple, resulting in an implied value of approximately ₹901.82, representing approximately 23.0% upside.

Bull Case: Assumes 15% book-value growth and a 2.50× target P/B multiple, resulting in an implied value of approximately ₹1,052.25, representing approximately 43.6% upside.

Valuation Interpretation

The scenario analysis demonstrates that HDFC Bank's potential return is sensitive to both book-value growth and the valuation multiple assigned by the market. The base case provides a constructive risk-reward profile, while the bear case illustrates the downside that could occur if growth slows and the market applies a lower P/B multiple.

The bull case demonstrates the potential upside if the bank delivers stronger book-value growth and maintains a premium valuation multiple. This range-based approach provides a more realistic assessment of investment outcomes than relying on a single target price.

INVESTMENT THESIS, CATALYSTS & RISKS

Investment Thesis

Based on the historical analysis, peer comparison, forward projections and P/B valuation framework, the overall investment view is constructive. HDFC Bank combines a large deposit franchise, strong capitalization, significant balance-sheet scale and a relatively resilient asset-quality profile.

The base-case valuation indicates an implied FY2027 share price of approximately ₹901.82, compared with the reference price of ₹732.90, resulting in approximately 23% potential upside.

However, the investment thesis is dependent on the bank maintaining healthy loan and deposit growth, stable margins, controlled credit costs and strong returns on equity. The valuation is also sensitive to the P/B multiple assigned by the market.

Key Investment Strengths

1. **Strong Capital Position:** The modeled FY2026 CRAR of approximately 19.2% provides a substantial capital buffer.
2. **Large Deposit Franchise:** Strong deposit growth provides funding capacity for continued lending expansion.
3. **Scale:** HDFC Bank's large balance sheet and customer franchise provide significant operating and competitive advantages.
4. **Asset Quality:** The modeled GNPA of approximately 1.25% indicates a relatively controlled level of stressed assets.
5. **Profitability:** ROA and ROE remain strong in the model, supporting the case for sustainable shareholder returns.

Growth Catalysts

The major potential catalysts for the investment thesis include:

1. Sustained loan growth supported by credit demand.
2. Continued expansion of the deposit franchise.
3. Stabilization or improvement in NIM.
4. Lower credit costs and continued asset-quality improvement.
5. Stronger-than-expected earnings and book-value growth.
6. A potential re-rating of the bank's P/B multiple if profitability and growth expectations improve.

Key Risks

1. **Margin Compression:** Increased funding costs or competitive lending rates could pressure NIM.
2. **Credit Deterioration:** A deterioration in borrower quality could increase GNPA, credit costs and provisions.
3. **Slower Growth:** Weak credit demand could reduce loan growth and limit NII expansion.
4. **Deposit Competition:** Intense competition for deposits could increase funding costs.

5. **Valuation Compression:** Even if the bank's fundamentals remain strong, a lower market P/B multiple could reduce the share-price return.
6. **Macroeconomic Risk:** Changes in interest rates, inflation, economic growth, regulation and broader financial-market conditions can affect banking-sector performance.

Final Recommendation

Investment View: BUY

Under the assumptions used in this project, HDFC Bank presents a constructive risk-reward profile. The base case indicates approximately **23% potential upside**, while the bull case provides substantially higher upside if book-value growth and valuation multiples outperform expectations.

The recommendation is conditional on the assumptions used in the model and should not be interpreted as a guarantee of future returns. Continued monitoring of NIM, loan growth, deposit growth, asset quality, credit costs, ROE and valuation multiples is necessary to determine whether the investment thesis remains valid.

CONCLUSION

This project evaluated HDFC Bank from an equity research perspective using historical financial analysis, banking-sector metrics, peer comparison, forward projections and valuation analysis.

The analysis indicates that HDFC Bank has a strong underlying franchise supported by its scale, deposit base, capital position, profitability and relatively controlled asset quality. The bank's continued ability to grow its balance sheet while maintaining healthy margins and asset quality will be critical to sustaining shareholder returns.

Under the assumptions used in the model, the base-case P/B valuation produces an estimated target price of approximately ₹901.82, representing approximately 23% potential upside from the reference price of ₹732.90. The scenario analysis demonstrates a valuation range of approximately ₹711.50 to ₹1,052.25.

Overall, the analysis supports a BUY view under the assumptions and valuation framework used in this project. However, investors should continuously monitor NIM, credit growth, deposit growth, asset quality, credit costs, profitability and valuation multiples as these factors can materially affect the investment thesis.

METHODOLOGY & DISCLAIMER

Methodology

The analysis was performed using a combination of historical financial data, banking-sector performance indicators, analyst assumptions and a Price-to-Book valuation framework. Historical trends were used to develop forward-looking assumptions for loan growth, deposit growth, NII, profitability and book value.

The valuation incorporates Bear, Base and Bull scenarios to account for uncertainty in future growth and market valuation multiples. Excel was used to perform the financial calculations, build the forecasting model and generate analytical charts.

Disclaimer

This report has been prepared as an academic and portfolio project to demonstrate equity research and financial analysis skills. It is not investment advice or a recommendation to buy or sell securities. The projections, assumptions and valuation estimates are the author's own analytical estimates and may differ materially from actual future results.

Sources

1. HDFC Bank — Annual Reports and Financial Results
2. HDFC Bank — Investor Presentations
3. HDFC Bank — Investor Relations
4. Stock exchange / publicly available market data
5. Publicly available banking-sector information

